

# The test won. I still only rolled it out to half the program.

How I decided which half of the loyalty program to ship — and which half to hold back.

Fictional airline · synthetic data · real methodology

# ~40%

## of issued loyalty miles sit unused.

Members who don't redeem within 12 months churn at a much higher rate. AeroVanti needed a way to pull more members into redeeming before that window closes.

## Lower the redemption threshold. Add more low-cost rewards. See if redemption goes up.

### PRIMARY METRIC

12-week redemption rate — share of members redeeming  $\geq 1\times$

### GUARDRAILS

Revenue / member · point-liability cost / member · lapse rate · avg. redemption value

## Why “launch it and see” wasn't good enough here.

**15,000**

ACTIVE MEMBERS

**12**

WEEKS

**50/50**

RANDOMIZED

Member-level randomization — because a before/after comparison can't tell you whether a lift came from the change, or from the season.

# +2.7pp

pooled redemption-rate lift ·  $p \approx 2 \times 10^{-6}$

But the effect wasn't the same size in every membership tier — the tier interaction was itself statistically significant ( $p = 0.0007$ ).

## About half that lift looks like a launch-week novelty bump — not a durable shift.

Average redemption value also dropped. Not a guardrail breach — but worth watching after launch.

**Rolled out to the two tiers  
where the effect was real and durable.  
Held off on the rest.**

Full methodology, numbers, and code — link in my Featured section.